IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V
COMPANY PETITION NO. (CAA) – 60 (PB)/2021
CONNECTED WITH
COMPANY APPLICATION NO. PB/C.A.(CAA)/70/2020

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF:

CELESTIAL FINHOLD PRIVATE LIMITED

...APPLICANT NO.1/TRANSFEROR COMPANY

AND

CELESTIAL KNITS & FABS PRIVATE LIMITED

...APPLICANT NO.2/TRANSFEREE COMPANY

Order Delivered On: 23.02.2023

CORAM:

JUSTICE TELAPROLU RAJANI, HON'BLE MEMBER (JUDICIAL)
SHRI RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	: Mr. R S Bhatia, CS
For the OL	: Mr. Hemlata Rawat, Adv.
For the RD	: Ms. Shankari Mishra, Ms. Niharika Tanwar, Advs.

ORDER

PER: JUSTICE TELAPROLU RAJANI, HON'BLE MEMBER (JUDICIAL)

1. The present Joint Petition is filed by the Applicant company viz., M/s CELESTIAL FINHOLD PRIVATE LIMITED (Transferor Company/Applicant No.1) and CELESTIAL KNITS & FABS PRIVATE LIMITED (Transferee Company/Applicant No.2) under Section 230-232

of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Applicant company No. 1 with Celestial Knits & Fabs Private Limited (Transferee Company/Applicant No.2).

2. The Transferor Company i.e., Celestial Finhold Private Limited was incorporated on 23.03.2001 under the provisions of the Companies Act, 1956, presently having its registered office situated at 1376-A G/F Gali Leswan (Lehswan) Chandni Chowk Opp Moti Bazar Delhi North Delhi DL 110006. The registered office of the Transferor Company is under the jurisdiction of this Tribunal.
3. The Transferee Company i.e., Celestial Knits & Fabs Private Limited was incorporated 0n 12th Day of November, 1999 under the provisions of the Companies Act, 1956, presently having its registered office situated at 1376-A G/F Gali Leswan (Lehswan) Chandni Chowk Opp Moti Bazar Delhi North Delhi DL 110006. The registered office of the Transferee Company is under the jurisdiction of this Tribunal.
4. The Petitioner companies submit that the proposed scheme of amalgamation of the Transferor Company and Transferee Company would have the following benefits: -
   a) Maximizing overall shareholder value, and will improve the competitive position of the combine entity.
   b) Achieve greater efficiencies in operations with optimum utilization of resources, better administration and reduced cost.

c) Cost savings are expected to flow from more focused operational efforts, rationalization, standardization and simplifications and the elimination of duplication, and optimum rationalization of administrative expenses and utilization of human resources.

d) Improved organizational capability and leadership arising from pooling of financial, managerial and technical resources.

5. The appointed date as fixed for the proposed scheme of Amalgamation is 01.04.2019 or such other date as may be directed by the Hon'ble National Company Law Tribunal.

6. From the records, it is seen that the First Motion joint Application was filed before this Tribunal vide Company Application No. PB/C.A.(CAA)/70/2020. Vide order dated 23.12.2020, the meeting of Equity Shareholders of both the companies was directed to be held. There were nil Secured & Unsecured Creditors of Transferor Company; therefore, the necessity of convening/dispensing a meeting did not arise. Vide same order, the meeting of Secured & Unsecured Creditors of Transferee Company was dispensed with. The Chairperson's Report was filed on 02.02.2021 for the meeting of shareholders and the scheme of Amalgamation was unanimously approved by shareholders of Petitioner Companies. The same is on record.

7. The Tribunal directed the petitioner companies to issue individual notices to the (i) Registrar of Companies NCT of Delhi and Haryana, (ii) Regional Director, Northern Region of Ministry of Corporate Affairs, (iii) concerned Income Tax Department, (iv) Ministry of Corporate Affairs, (v) Official Liquidator.

8. The Applicant Companies were directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an affidavit of publication and service dated 07.01.2022 affirming that notice of hearing was duly advertised in "Business Standard" (Hindi) and "Business Standard" (English) New Delhi edition on 22.12.2021. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana and to the other relevant sectoral regulators.

9. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their report and participated in the proceedings.

10. In daily order dated 13.07.2022 passed by this Tribunal, it was noted that the proxy counsel appeared on behalf of Regional Director, Northern Region, Ministry of Corporate Affairs and stated that they had no objection in allowing the proposal and the Official Liquidator also submitted that they have no objection to the scheme.

11. The Income Tax Department has not submitted its reports despite repeated reminders. Vide order dated 21.11.2022 passed by this Tribunal, the Income Tax Department was set as ex-parte.

12. In compliance of order dated 13.07.2022 passed by the Tribunal, the petitioner companies have filed the affidavit-cum-undertaking dated 25.07.2022 stating that the Transferee company will bear the income tax and will be responsible to pay the income tax dues, if any, and also filed 3 years tax returns of both the companies.

13. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

14. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

15. Certificate of the Statutory Auditors of the Transferor Company has been placed on record to the effect that there are no Secured or Unsecured creditors as on 31.12.2019 and Certificate of the Statutory Auditors of the Transferee Company has been placed on record to the effect that details of secured and unsecured creditors as on 31.12.2019.

16. The shareholders of the Petitioner Companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not

ordinarily interfere with the corporate decisions of companies approved by shareholder and creditors.

17. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

18. Consequently, sanction is hereby granted to the Scheme under Section 230-232 of the companies act, 2013 with the following directions: -

(i) The petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

19. This Tribunal further directs with respect to Transferor Company and Transferee Company, that:

(i) Upon the sanction becoming effective from the appointed date as provided under the scheme, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on

the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vi) That the Applicant Companies shall within thirty days of the date of the receipt of this order, file a certified copy of this order with the Registrar of Companies NCT of Delhi & Haryana for registration and on such certified copy being so delivered the Transferor Company shall be dissolved and the Registrar of Companies NCT of Delhi & Haryana shall place all documents relating to the Transferor company and the files relating to the Applicant Companies shall be consolidated accordingly; and

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

20. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-
(SHRI RAHUL BHATNAGAR)
MEMBER (T)

Sd/-
(JUSTICE TELAPROLU RAJANI)
MEMBER (J)